

# Prudential Enlight Savings Insurance Series

- Prudential Enlight Savings Insurance
- Prudential Baby Enlight Savings Insurance



Listening. Understanding. Delivering.



The best commitment to your child – a lifetime of security with guaranteed financial support and lifelong protection, from only 5 years of premiums.

Life & Savings Insurance

Hong Kong Edition



## Series highlights

## What is the Prudential Enlight Savings Insurance Series?

Every parent wants their child to grow up happy, healthy and safe. While you cannot control everything, you can show your lifelong commitment from listening to their heartbeat – by giving them a flying start with **guaranteed financial security** and **life cover**.

**Prudential Enlight Savings Insurance Series** offers 2 plans – **Prudential Enlight Savings Insurance** and **Prudential Baby Enlight Savings Insurance**, the whole-life savings plan providing **a guaranteed cash coupon plus guaranteed life cover**  **as early as the 20<sup>th</sup> week of pregnancy**. With just **5 years' premiums**, secure a **guaranteed savings fund** for your child plus **long-term growth potential**. We give them the financial boost with a one-off **guaranteed cash coupon** on the **18<sup>th</sup> policy anniversary**, to substantially fund what matters most at your child's prime; and a **flexible income stream** with our **FlexIncome Option** for extra liquidity.

As they grow, we future-proof their protection with a **guaranteed** option to **increase coverage, regardless of health changes**.

The series offers a suite of backup options. You can keep your financial commitment going by **naming a backup policyholder**. If your child is too young to take over the policy, name a trusted **interim owner** to **temporarily manage** the policy with **limited rights** until your child is **ready**, ensuring policy continuity if the worst happens or you become incapacitated. Plus, with our **Family Premium Waiver**, we will take care of your **remaining basic premiums**, so your child's protection stays in place if you or your spouse unfortunately passes away.



## Series highlights

## Your love lasts a lifetime, so do your commitments



Enlighten your child's path from pregnancy and beyond, with **guaranteed financial foundation and life protection**



## Fulfil your commitments



Give your child a head start in life **First-in-market** from the **20<sup>th</sup> week of pregnancy**, with a stronger financial foundation before birth



Champion your child's ambitions with the **Highest-in-market** **guaranteed cash coupon** – **105%** of the notional amount on the **18<sup>th</sup> policy anniversary**; and your policy value **continues to grow**



Reward your child's **academic excellence** from top exam scores to world-class university admissions – with up to USD 5,000



**Tailor an income stream** with the **FlexIncome Option**, paid directly to your child or a university for their tuition as you wish



## Safeguard your commitments



**Waive the remaining basic premiums** with the **Family Premium Waiver** to keep your child's safety net intact if the unexpected happens to **you** or **your spouse**



**Keep** your policy **growing** and **safeguard** your family by naming a **backup policyholder** to **take over your policy** if the worst happens



**Put a backup plan in place** by appointing a family member to receive a lump sum for immediate financial relief or take over your policy, in case you are **incapacitated** and **unable to manage** it yourself



**Most comprehensive solution**  
Name your **young child** as the **backup policyholder** or **designated owner** under the Incapacity Option – Ownership Transfer, alongside an **interim owner** until they are **ready** to take full control at your chosen **date, age** or **life event**



## Extend your commitments



**Death Benefit** with at least **180%** of the notional amount for the whole life



**Guaranteed** option to take out a **new whole-life insurance plan** with **higher protection** at your child's key life moments; **no need** to give us any health information

## What is notional amount?

Your policy will have a "notional amount". We use the notional amount to calculate the policy's premiums, guaranteed cash value, guaranteed cash coupon, non-guaranteed Terminal Bonus, Death Benefit and other policy values and benefits of the plan. It does not represent the amount of Death Benefit we pay. Any change to this notional amount will lead to a corresponding change in the future premiums, guaranteed cash value, guaranteed cash coupon, non-guaranteed Terminal Bonus, Death Benefit, Family Premium Waiver and other policy values and benefits of the plan.



Key benefits

# Fulfil your commitments

Raising a child is a promise of support for life and beyond. **Prudential Enlight Savings Insurance Series** helps you plan ahead **as early as the 20<sup>th</sup> week of pregnancy**, by providing a **guaranteed savings fund** that withstands market fluctuations, plus **long-term growth potential**, so they can have the financial flexibility to realise their dreams.





Champion your child’s ambitions with a guaranteed cash coupon

We understand that, as the family’s backbone, **financial stability** is crucial to your child’s future. That’s why taking a more prudent way helps ensure your financial commitments won’t compromise their journey ahead.

Through **market ups and downs**, **Prudential Enlight Savings Insurance Series** gives you **certainty**, with a one-off **Highest-in-market** **guaranteed cash coupon – 105% of the notional amount** on the **18<sup>th</sup> policy anniversary**, plus growth opportunities to fuel your child’s dreams:



Undergraduate or  
Postgraduate study



Start a business



Pay the mortgage

While enjoying **guaranteed liquidity**, you can rest assured that the Death Benefit will **not be reduced** after the coupon payout, so your child’s life protection can stay on track.

Alternatively, you can leave it in the plan’s accumulation account to earn a non-guaranteed interest.







Reward your child’s academic success

From top exam scores to a spot at the global top-tier university, we will **celebrate** your child’s **educational achievements** with our **Academic Success Award**. We will pay 1 of the following award amounts once per life under all in-force policies of this series regardless of where we issued them. We may change the terms and conditions of the award from time to time.

Academic Success Award

| Academic achievements                                       | Criteria                                                                                                                                                                                                                                       | Award amount                                                                                                                                                           |
|-------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. General Certificate of Secondary Education (GCSE)        | At least 5 grade 9 from an attempt of 7 subjects or more in 1 GCSE sitting                                                                                                                                                                     | USD 250 for every subject that has met the criteria                                                                                                                    |
| 2. Hong Kong Diploma of Secondary Education (HKDSE)         | At least 3 grade 5* or above from an attempt of 6 subjects or more in 1 HKDSE sitting                                                                                                                                                          | USD 350 for every subject that has met the criteria                                                                                                                    |
| 3. General Certificate of Education Advanced Level (GCE AL) | At least 2 grade A or above from an attempt of 3 subjects or more in 1 GCE AL sitting                                                                                                                                                          | USD 350 for every subject that has met the criteria                                                                                                                    |
| 4. Advanced Placement in the U.S. or Canada (AP)            | At least 2 grade 5 from an attempt of 3 subjects or more in 1 AP sitting                                                                                                                                                                       | USD 350 for every subject that has met the criteria                                                                                                                    |
| 5. Australian Tertiary Admissions Rank (ATAR)               | Score of 90 or above from an attempt of 5 subjects (including English as a compulsory subject) or more in 1 ATAR sitting                                                                                                                       | USD 800                                                                                                                                                                |
| 6. Test of English as a Foreign Language (TOEFL)            | Total score of 110 or above                                                                                                                                                                                                                    | USD 800                                                                                                                                                                |
| 7. International English Language Test System (IELTS)       | Overall band score of 8 or above                                                                                                                                                                                                               | USD 800                                                                                                                                                                |
| 8. International Baccalaureate Diploma Programme (IBDP)     | Total score of 41 or above                                                                                                                                                                                                                     | USD 800                                                                                                                                                                |
| 9. Mainland Gaokao                                          | Total score of 600 or above                                                                                                                                                                                                                    | USD 800                                                                                                                                                                |
| 10. SAT                                                     | Total score of 1500 or above in 1 SAT sitting                                                                                                                                                                                                  | USD 800                                                                                                                                                                |
| 11. ACT                                                     | Score of 34 or above in the composite score                                                                                                                                                                                                    | USD 800                                                                                                                                                                |
| 12. Admission to any of the world’s top 20 universities     | <ul style="list-style-type: none"> <li>Admitted to any of the world’s top 20 universities (including full-time undergraduate or postgraduate programmes)</li> <li>The ranking is based on the source we determine from time to time</li> </ul> | <ul style="list-style-type: none"> <li>Top 1–3 universities: USD 5,000</li> <li>Top 4–10 universities: USD 3,000</li> <li>Top 11–20 universities: USD 1,500</li> </ul> |



Seize long-term wealth growth with potential returns

The plans in this series are whole-life Shareholder-backed Participating Plans that offer your child **long-term growth potential** plus **life cover**, on top of the guaranteed cash coupon.

Simply pay **5 years** of **premiums** and **your wealth will grow through**:



To maximise your **financial flexibility**, if you need your money for any reason, perhaps to support your child’s development, you can **take some of your plan’s Total Cash Value** through **cash value withdrawal** or **borrow up to 80% of its guaranteed cash value** while **keeping the policy in force**.

You can find more about our “Terminal Bonus”, “Cash value withdrawal” and “Policy loan” in the “More about the series” section below.

Click [here](#) or scan the QR code for more information on our Shareholder-backed Participating Plans, including our investment and bonus philosophies and the operation of the Shareholder-backed Participating Fund.



 Good to know – Backing your policy returns

We invest in various types of assets to back your policy returns. For equity-type securities, we invest globally with an aim to achieve diversification. For fixed-income securities, we primarily invest in those denominated in USD, and currency hedging may be used if the currency of the fixed-income securities is different from the underlying policy denomination.

The amount of the non-guaranteed Terminal Bonus is subject to the performance of our investments, which include equity-type securities and fixed-income securities, and may move up or down over time. Returns from equity-type securities are generally more volatile than fixed-income securities. For this series, we follow a two-stage investment strategy that adjusts automatically over time: (i) before the 18<sup>th</sup> policy anniversary and payment of the guaranteed cash coupon, we will allocate a smaller portion of our investments to equity-type securities; (ii) after the 18<sup>th</sup> policy anniversary, we will allocate a higher portion of our investments to equity-type securities considering the current long-term target (50%), with the potential of higher long-term returns, and the movement of the amount of the non-guaranteed Terminal Bonus can be large. On the 18<sup>th</sup> policy anniversary, investment assets will be realised to pay your guaranteed cash coupon; and the remaining policy value will depend on the market conditions at that time, potentially affecting your subsequent fulfilment ratio. While the value of the plan is mostly affected by the overall performance of the Shareholder-backed Participating Fund, smoothing may be applied to produce more stable returns over the policy term.

We may determine and declare the bonus more frequently than on an annual basis at our sole discretion. You should note the investment mix of this series and more details in the “Investment philosophy” and “Key risks” sections below. For more information on the fulfilment ratio, please refer to <https://pruhk.co/bonushistory-SHPAR-en>.





### Tailor an income stream with the FlexIncome Option

Take advantage of our **FlexIncome Option** to create an **income stream** for your child or show your support for children with special needs:



Living expenses



All-round child development needs



University tuition

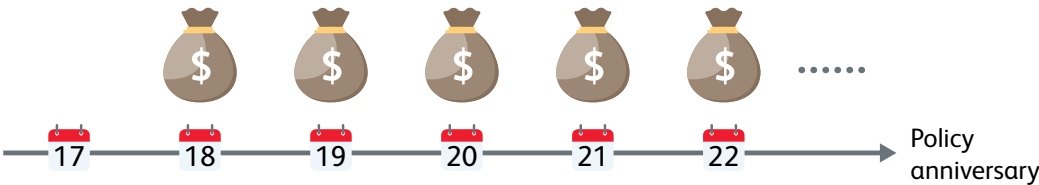


Special education needs (SEN)

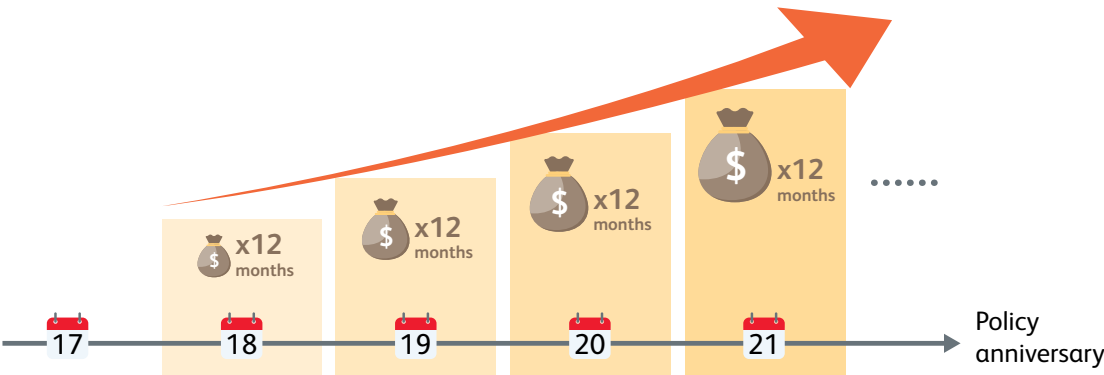
From the 18<sup>th</sup> policy anniversary, with just a **simple instruction**, you can **set up automatic annual or monthly withdrawals** from the policy value, **paid directly** to your **named recipient** for a **period of your choosing**. What's more, you can opt for **fixed** or **increasing payments** to cater to your changing financial needs or just to stay ahead of inflation.

You can **change the instruction or the recipient as many times as you wish**, as long as there is only 1 instruction in place at a time. Take full charge of how to use your wealth – the **amount**, **payment period** and **recipient**. **The choice is yours.**

#### Example 1: Fixed annual withdrawals



#### Example 2: Monthly withdrawals increasing at your designated annual rate



# Safeguard your commitments

The best way to protect your wealth is to ensure it’s passed on to your child at the right time. With our holistic policy protection tools, including the **new Interim Owner Option**, we ensure a seamless transfer even if you name your young child as a backup policyholder; and our **Family Premium Waiver** safeguards everything you planned for your child, without the financial burden of premium payments.







Keep your child’s financial safety net intact

The impact on a family can be significant not only when an unfortunate event happens to you, but also to your spouse. The plans in this series help you protect your loved ones with the **Family Premium Waiver** – simple registration and **no additional underwriting**. While your plan comes into force, if you as the policyholder or your spouse unfortunately passes away during the premium term, we will **waive the future premiums** of your basic plan:

| Who is covered<br>(the “covered person(s)”)                                                                                                                          | What is covered                                                                                                                                 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| Policyholder                                                                                                                                                         | Registration age 18-50Registration age 51 or above                                                                                              |
| <div> <ul style="list-style-type: none"> <li>Parent</li> <li>Grandparent</li> <li>Legal guardian</li> </ul> <div> <div>+</div> <div>Their spouse</div> </div> </div> | <div>Waive the future basic premiums if the covered person(s):</div> <div> <div>Pass away</div> <div>Pass away in an accident only</div> </div> |

Under **Prudential Baby Enlight Savings Insurance**, if the expectant mother’s spouse passes away in an accident before the baby is born, the future basic premiums will also be waived.

That means your loved ones’ financial security stays in place, even when finances may be tight after the loss of a family breadwinner.

The Family Premium Waiver has a 2-year waiting period in the unfortunate event of death, except for death caused by an accident. We cap the premium waiver amount under all in-force insurance policies of this series for the same covered person at USD 125,000, regardless of the life assured (the person the plan covers), the policyholder, or where we issued them.

You can find more about our “Family Premium Waiver” in the “More about the series” section below.



Keep your policy growing by naming a backup policyholder

We know your insurance policy is an important asset to you and your family. That’s why having someone you trust to take over is key to ensure your policy continuity and avoid lengthy probate, in case you unfortunately pass away.

If you take out this plan for your loved ones (i.e. you are not the life assured), you, as the policyholder, can **choose a family member** as your policy’s **succeeding owner** as soon as the policy starts. This **allows them to take over the policy and become the new policyholder** if the worst happens.

You can **appoint, change** or **remove** the **succeeding owner as many times as you wish** as long as there is only 1 succeeding owner at a time. Under **Prudential Baby Enlight Savings Insurance**, you can name a succeeding owner only after your newborn becomes the life assured.



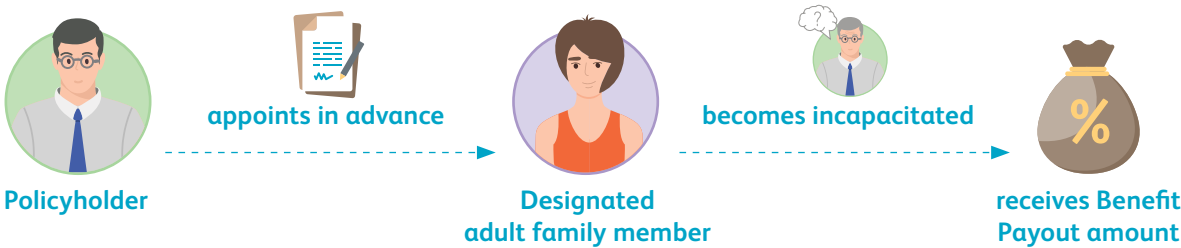
### Put a backup plan in place with the Incapacity Option

If you unfortunately become **mentally** or **physically incapacitated** because of **any of the plan’s Covered Diseases** while the policy is in force, and **you are unable to manage your policy**, our **Incapacity Option** can help you maintain your loved ones’ financial wellbeing.

As soon as the policy starts, you can create a **safety net** by **choosing one of two options** in advance:

#### I. Incapacity Option – Benefit Payout

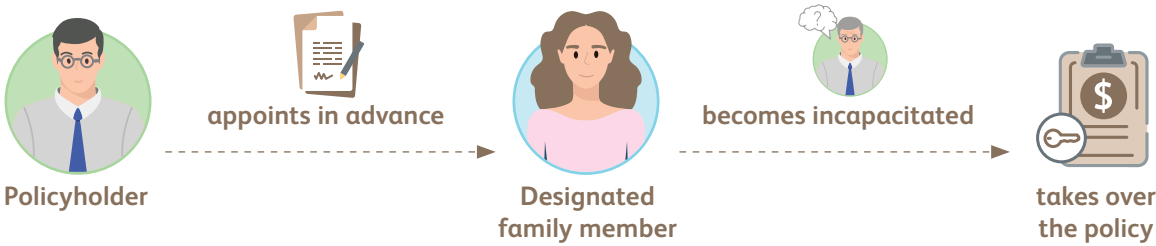
We will **pay your designated adult family member the percentage you choose of your policy’s surrender value** (before we deduct any outstanding premiums, loans and interest) **as the claim under this option** to help you through such difficult times. With a **simple application**, your family can **get money quickly** to meet your needs; **no need for any legal processes**.



or

#### II. Incapacity Option – Ownership Transfer

We will **transfer your policy’s ownership to your designated family member**. With a **simple application**, they can **take over the policy and become the new policyholder**, so your **policy can continue seamlessly**.



You can **switch between** the **Benefit Payout** or **Ownership Transfer** options, or **change the designated family member** under your selected option **as many times as you wish**, as long as you only choose 1 option at a time, and you have not yet exercised the Incapacity Option. Under **Prudential Baby Enlight Savings Insurance**, you can name a designated family member only after your newborn becomes the life assured.

You can find more about our “Incapacity Option” including the full list of our Covered Diseases and how we calculate the Benefit Payout amount in the “More about the series” section below.

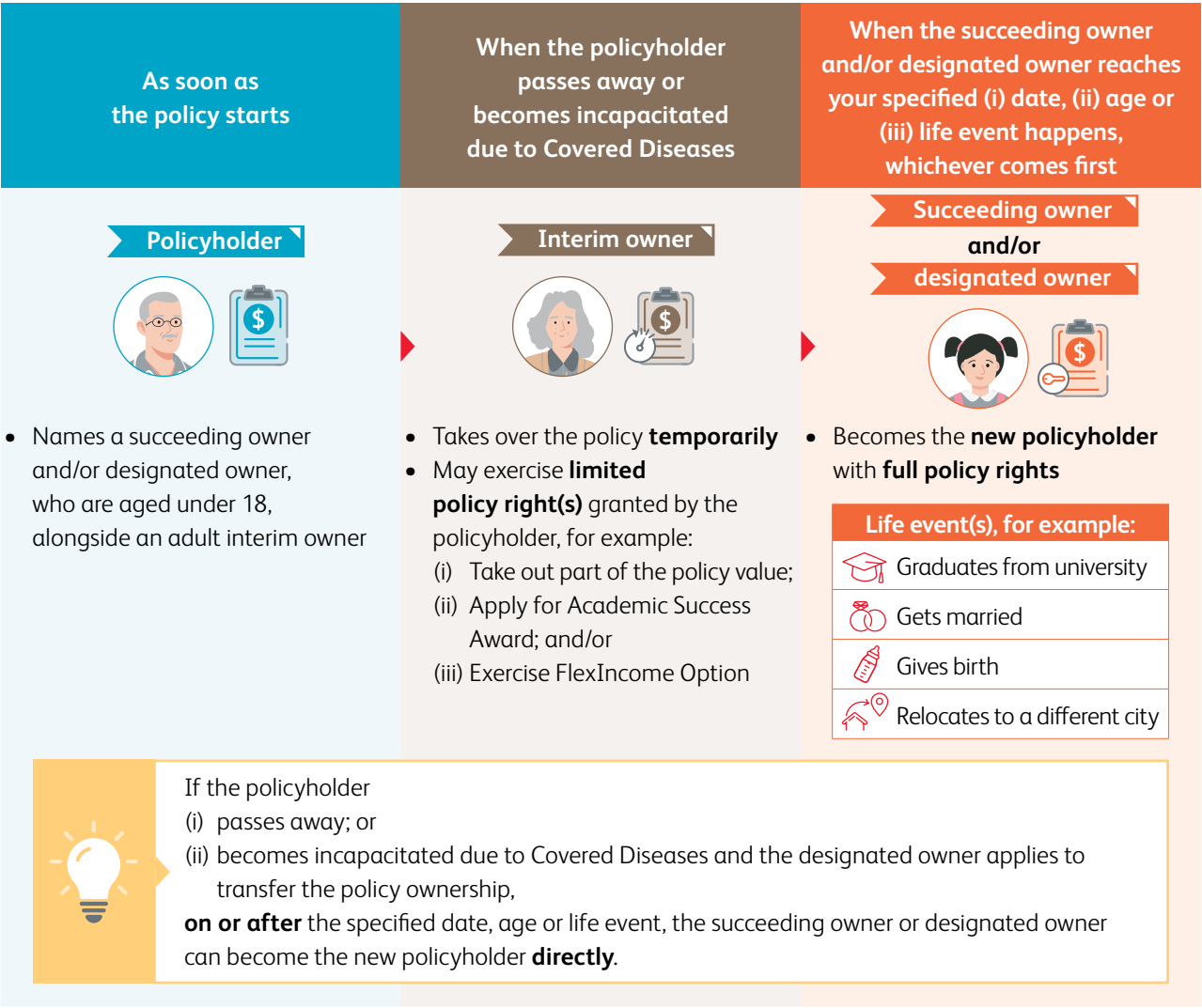




### Let your young child take full control at the right time

Worried your child is too young to take over the policy? If you name your **young child**, who is aged under 18, as the **succeeding owner and/or designated owner** under the Incapacity Option – Ownership Transfer, our **Most comprehensive solution** **Interim Owner Option** enables you to appoint an **interim owner** to **temporarily manage** the policy, with **limited policy rights** chosen by you. This safeguards the policy until your child is **mature** enough to succeed your asset at a specified date, age or life event.

The succeeding owner and/or designated owner **must be aged 18 or above** when they take over the policy



You can **appoint, change** or **remove** the **interim owner as many times as you wish** as long as there is only 1 interim owner at a time for each policy. If you remove the interim owner, the succeeding owner and/or designated owner will also be cancelled.

The diagram above lists out certain key features of the Interim Owner Option and is for illustration purpose only. The determination of a new policyholder and the transfer of policy ownership must fulfil the relevant requirements for the succeeding owner, designated owner and interim owner. You can find more about our “Interim Owner Option” in the “More about the series” section below.

Click [here](#) or scan the QR code to explore application examples of the Interim Owner Option:



 **Good to know – Interim Owner Option**

If both a succeeding owner and a designated owner are named, they must be the same person; and if that person is a young child aged under 18 at the time of appointment, you must appoint the same interim owner.

# Extend your commitments

Because your commitments don't end as your child enters adulthood, our thoughtful life protection and **Guaranteed Insurability Option** empower your child to build their own legacy and secure their family's future with confidence.







## Enlighten your child’s path from pregnancy and beyond with life protection

Every dream begins with a little spark. Our **Prudential Enlight Savings Insurance Series** is designed to be your first and lifelong commitment – empowering your child to shine. Starting  **First-in-market** as early as your **20<sup>th</sup> week of pregnancy**, **Prudential Baby Enlight Savings Insurance** offers life protection to your newborn right from birth **even against congenital conditions**, and continues to safeguard their whole life.

We will pay at least **180%** of the notional amount as a **Death Benefit**, less any amount you owe us, to the beneficiary if the life assured unfortunately passes away while the plan is in force.

|                                                                                                                                         |  <div>Life assured</div>                 |  <div>Compassionate Benefit<br/>(applicable when the life assured is the expectant mother)</div> |  <div>Death Benefit<br/>(applicable when the life assured is the child)</div>   |
|-----------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  <div>Prudential Baby Enlight Savings Insurance</div> | <ul style="list-style-type: none"> <li><b>Pregnancy:</b> Expectant mother</li> <li><b>After birth:</b> Newborn</li> </ul> | <ul style="list-style-type: none"> <li><b>105%</b> of the first year premium for the loss or death of the foetus</li> </ul>                                                        | <ul style="list-style-type: none"> <li>Within 180 days after birth: 20% of the Death Benefit</li> <li>After 180 days after birth: 100% of Death Benefit</li> </ul> |
| Prudential Enlight Savings Insurance                                                                                                    | <ul style="list-style-type: none"> <li>Newborn to age 17</li> </ul>                                                       |                                                                                                                                                                                    | <ul style="list-style-type: none"> <li>100% of Death Benefit</li> </ul>                                                                                            |

Under **Prudential Baby Enlight Savings Insurance**, the registration of the newborn must be completed no later than 14 days before the 1<sup>st</sup> policy anniversary. The life assured will be changed to your child since birth once it is approved.

You can find more about our “Compassionate Benefit” and “Death Benefit and its settlement option” in the “More about the series” section below.



## Guaranteed option to take out a new whole-life plan with cash value

As your child grows, so will their insurance needs. That’s why the series offers a **Guaranteed Insurability Option** – allowing your child, as the life assured, to **take out a new whole-life insurance plan** with cash value (that we will specify when this option is exercised), **no need to give us any health information**, as they reach any of these moments:

- Receive the guaranteed cash coupon; or
- Reach age 25/30/35

So, you can rest assured that they will continue to enjoy long-term protection even if their health condition changes.

The new policy can provide life cover up to 3.6 times of their prevailing policy’s notional amount. The total sum assured of the new policies exercised from this option under the plans in this series covering the same life assured should not exceed USD 500,000, regardless of where we issued them. The life assured can only exercise this option once per policy.





## Empower your child to shape their legacy with a customisable Death Benefit payout

One day, your child will also begin to have their own financial planning and caring for those they love. With our flexible legacy planning tools, they can **tailor how the Death Benefit is paid**, while the life assured is still alive, in one of the following ways:

- 1. One **lump sum** payment
- 2. **Monthly instalments** over 10, 20, 30 or 40 years
- 3. A **mix** of both – pay the percentage of the Death Benefit in a lump sum then the remaining balance in monthly instalments
- 4. **FlexLegacy** – tailor how and when the payments are paid to suit family’s circumstances and needs

When we approve the Death Benefit claim, any Death Benefit unpaid will earn a non-guaranteed interest.

You can find more about our “Death Benefit Settlement Option” including the full list of our specified life events in the “More about the series” section below.

Click [here](#) or scan the QR code to explore application examples of the Death Benefit Settlement Option:





### Supplementary benefits to enhance your protection

Every child’s journey is different, and so is their protection. By paying additional premiums, you can help your child to choose from a range of supplementary benefits, to enhance their protection against critical illness, extra medical expenses, disability and accidents.

 Good to know

Exercising the plan’s benefits or options, especially changing the policyholder, may affect its other benefits or options. You can find more details in the relevant areas under “More about the series” section below.

Remarks:

We base our statement about the feature of our plan being “first-in-market” on our understanding and interpretation of current market information, by comparing with other publicly available non-critical illness whole-life insurance plans issued by major Hong Kong life insurance companies for individual customers as at 24 December 2025.

The above description of “highest-in-market” refers to the total guaranteed cash coupon payout as of the 18<sup>th</sup> policy anniversary. We base our statement on our understanding and interpretation of current market information, by comparing with other publicly available whole-life savings plans with cash payment issued by major Hong Kong life insurance companies for individual customers as at 24 December 2025. The above explanation is based on a 5-year payment term, a USD policy with a total premium of USD 50,000, and assumes no policy changes have been made.

Our statement about the plan’s Interim Owner Option being “the most comprehensive solution” refers specifically to its feature allowing an interim owner temporarily manages the policy for the minor succeeding owner or designated owner if the policyholder passes away or becomes incapacitated, while also enabling succession at a specified date, specified age, or occurrence of designated life event. We base the statement on our understanding and interpretation of current market information regarding other publicly available savings and life insurance plans issued by major Hong Kong life insurance companies for individual customers as at 24 December 2025.

## How does the plan work?

### Case – A promise of guaranteed financial security and lifelong protection for your unborn child

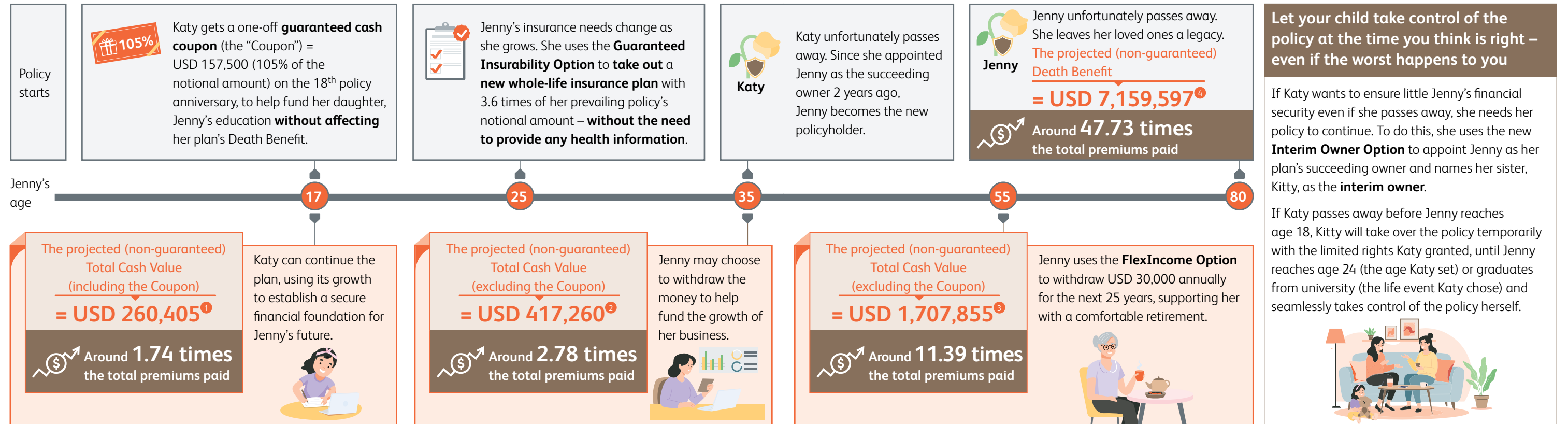
Katy, a 30-year-old mom-to-be, takes out **Prudential Baby Enlight Savings Insurance** when she is 20 weeks pregnant to protect and care for her unborn daughter, Jenny.

Katy aims to:

- Support Jenny's education with a guaranteed cashflow
- Provide her with lifelong protection right from birth, even against congenital conditions
- Give her the financial security she needs for her future

#### Policy details

Policyholder: Katy  
 Life assured: **Before birth – Katy**  
**After Jenny's birth – Jenny**  
 Premium term: 5 years  
 Notional amount: USD 150,000  
 Annual premium: USD 30,000  
 Total premiums: USD 150,000



Breakdown of ① ② ③ ④:

Projected Total Cash Value on the 18<sup>th</sup> policy anniversary

| USD | Guaranteed cash coupon | Guaranteed cash value | Non-guaranteed Terminal Bonus |
|-----|------------------------|-----------------------|-------------------------------|
| ①   | = 157,500              | + 17,079              | + 85,826                      |

Projected Total Cash Value after paying the guaranteed cash coupon

| USD | Guaranteed cash value | Non-guaranteed Terminal Bonus |
|-----|-----------------------|-------------------------------|
| ②   | = 21,519              | + 395,741                     |
| ③   | = 26,781              | + 1,681,074                   |

Projected Death Benefit

| USD | 180% of notional amount | Non-guaranteed Terminal Bonus |
|-----|-------------------------|-------------------------------|
| ④   | = 213,158               | + 6,946,439                   |

#### About Jenny's policy

- The policy rights granted by the policyholder to the interim owner are subject to the specific features of the product. There are more details on the application form.
- If you exercise the FlexIncome Option, we will withdraw the policy values in a designated sequence. This will reduce the future value and may reduce the notional amount (a "partial surrender") of your policy. For details, please refer to the "FlexIncome Option" in the "More about the series" section below.
- The non-guaranteed Terminal Bonus is estimated based on our current bonus scale in light of the current investment return. The case and all the figures mentioned here are for illustration only and are not an indicator of future performance. Actual returns may be higher or lower subject to investment.
- The above calculations assume no policy loan is made, and all the other benefits or options not stated in the case are not exercised while the policy is in effect. The figures in the above case may differ slightly from the actual amounts due to rounding differences.
- Applications for exercising the above-mentioned benefits or options are subject to our approval and may affect the policy's other benefits or options.



More about the series

Plans in this series

- Prudential Enlight Savings Insurance
- Prudential Baby Enlight Savings Insurance

Plan type

Basic plan  
(When this plan is a basic plan, it means you can choose to take out this plan as a standalone plan without enrolling with other type(s) of insurance product at the same time.)

Benefit term

Whole life

Premium term/Issue age/Currency

| Premium term | Issue age (ANB)                      |                                                                      | Currency |
|--------------|--------------------------------------|----------------------------------------------------------------------|----------|
| 5-year       | Prudential Enlight Savings Insurance | Prudential Baby Enlight Savings Insurance                            | USD      |
|              | 1* – 18                              | 19 – 46#<br>(age of the expectant mother at the time of application) |          |

- \* The life assured must be at least 15 days old when the proposal document is signed.
- # The expectant mother (as the life assured) must be at the 20<sup>th</sup> week of pregnancy or more when the proposed document is signed.

Premium structure

The same premium rate applies across all ages, genders and smoking class.

Terminal Bonus

- This is a one-off non-guaranteed bonus.
- We will declare the bonus for your plan from the 1<sup>st</sup> policy anniversary.
- We normally declare the bonus annually and may change it from time to time.
- We have the right to determine and declare the bonus more frequently than annually at our sole discretion.
- The declared bonus may rise and fall and does not accumulate within the policy or form a permanent addition to the policy’s value.
- After each declaration of the bonus, we may adjust the value and could be reduced compared to previous declarations. As a result, the Total Cash Value, Death Benefit and surrender value may be lower than those in previous years.
- The declared bonus has a face value which we will pay when we pay the Death Benefit.

- The bonus also has non-guaranteed cash values which we determine by variable cash value discount factors. If you terminate your policy (other than when we pay the Death Benefit), we will pay the bonus’ non-guaranteed cash value, not the face value.
- We have the right to determine bonus rates, cash values and frequency of declaration at our sole discretion.

Surrender value

When you surrender your policy, we will pay a surrender value equal to:

- the guaranteed cash value;
- **plus** the cash value of any Terminal Bonus;
- **plus** any amount in the accumulation account (if applicable);
- **less** all amounts (including but not limited to any outstanding loans and interest) you owe us under the policy.

Guaranteed cash coupon, payment options and accumulation account

- While the policy is in force, we will pay 105% of the notional amount as a one-off guaranteed cash coupon on the 18<sup>th</sup> policy anniversary.
- You can choose from these payment options for your guaranteed cash coupon:
  - Accumulation (preset option)
    - > You can leave your cash coupon in the accumulation account to earn a non-guaranteed interest.
    - > You can withdraw cash from the accumulation account anytime.
  - Direct payout
    - > We will pay them directly into your HKD bank account in Hong Kong; or
    - > We will pay them with a cheque in your choice of either HKD or USD.
    - > If we pay in HKD, we will determine the exchange rate and we may change it from time to time.
  - Deposit in the premium deposit account
    - > You can deposit the cash coupon into the premium deposit account for the future premiums and/or any levies of any supplementary benefits.
- You can change the payment option while the policy is in force.
- If you set up the Interim Owner Option and we (i) decide not to revoke the transfer of policy ownership to the interim owner after the policyholder’s death, or (ii) approve such transfer after the policyholder becomes incapacitated, the payment option will be reset to “Accumulation” and cannot be changed. Unless you have already granted the interim owner the relevant policy right(s), they cannot withdraw the guaranteed cash coupon and its accumulated interest.

- We may change the annual interest rate we pay on money in the accumulation account or the premium deposit account from time to time at our sole discretion. This means the rate is not guaranteed.

Academic Success Award

- You can get this award if the life assured meets any of the specified criteria of the respective academic achievements with the policy having been in force for 1 year and before the policy anniversary on or immediately following the life assured reaches (i) age 25 (26 ANB) ; or (ii) age 30 (31 ANB) (only applicable to admission to full-time postgraduate program at any of the world’s top 20 universities).
- You can only claim this award once even if the life assured meets more than 1 of the specified criteria of the respective academic achievements.
- You can only claim this award once even if you have taken out more than 1 policy in this series under the same life assured regardless of where we issued them.

FlexIncome Option

When you exercise this option

- Starting from the 18<sup>th</sup> policy anniversary and when we pay the guaranteed cash coupon, you can set up a FlexIncome instruction to make annual or monthly withdrawals from the policy and appoint a FlexIncome recipient to receive the withdrawal payments automatically for a period of your choosing, while the policy is still in force.
- You can choose fixed instalments or increasing instalments at a rate between 1% and 10% p.a..
- You can choose to exercise this option via withdrawing from the policy value by keeping the same notional amount or reducing the notional amount. Either will reduce the future value of your policy.
  - If you keep the same notional amount, we will withdraw from the balance of the accumulation account of the guaranteed cash coupon (if applicable).
  - If you reduce the notional amount, we will withdraw from the balance of the accumulation account of the guaranteed cash coupon (if applicable). After that, we will withdraw from the cash value of any Terminal Bonus and the guaranteed cash value of the policy.
- You can only set up 1 instruction with 1 recipient for this option under the policy. The recipient must be aged 18 (19 ANB) or above, and must be:
  - your a) self, b) spouse (including same-sex spouse), c) parent, d) child, e) sibling, f) grandparent, g) grandchild or h) any other relationship or any organisation as mentioned on the application form; or

- an individual with the trustee’s consent, in the case of a trust-owned policy; or
  - an individual with the assignee’s consent, in the case of an assigned policy.
- If you want to change the instruction or the recipient, you can cancel it and set up another instruction as many times as you wish while the policy is in force by completing and submitting an application form to us. However, you must meet our eligibility requirements, the applicable administrative rules and conditions and you will need our approval.

Grounds for cancelling this option

- If we receive a request to transfer the policy ownership, we will withhold any FlexIncome instruction, including a transfer to
  - (i) the designated owner under the Incapacity Option; or
  - (ii) the interim owner when the policyholder becomes incapacitated; or
  - (iii) the succeeding owner/designated owner when the chosen life event happens during policy ownership of the interim owner.
- If we reject the transfer request, we will resume the instruction but will not repay any income withheld during this period.
- We will cancel the instruction and the FlexIncome recipient you have appointed earlier when the first of these happens:
  - your policy is terminated; or
  - your chosen withdrawal period ends; or
  - there is not enough balance in the accumulation account of the guaranteed cash coupon (if applicable), in the case of withdrawal by keeping the same notional amount; or
  - the notional amount of your policy after withdrawal is less than the minimum amount we set, in the case of withdrawal by reducing the notional amount; or
  - you transfer the policy ownership (for the case of transferring the policy ownership to the succeeding owner, designated owner or interim owner, please refer to the “Succeeding owner”, “Incapacity Option” and “Interim Owner Option” below for details); or
  - you assign the policy; or
  - you cancel the FlexIncome instruction or the appointment of the FlexIncome recipient; or
  - we receive notice of the policyholder’s death.

- If you grant the policy rights to the interim owner to exercise the FlexIncome Option, after the interim owner takes over the policy, we will cancel the FlexIncome instruction and the FlexIncome recipient appointed by the interim owner when the first of these happens:
  - we approve the transfer of policy ownership after the chosen life event of the succeeding owner or the designated owner happens during policy ownership of the interim owner; or
  - the interim owner is unable to continue holding the policy in our reasonable opinion; or
  - the succeeding owner/designated owner reaches the specified date or age during policy ownership of the interim owner.
- If the life assured unfortunately passes away, we will deduct from the Death Benefit any payments made from the date of the life assured’s death until we receive the death claim submission.
  - their spouse who is aged 51 (52 ANB) or above when the plan comes into force (if the registration of the spouse is made when we issue the policy), or on the date we approve its registration, whichever is later.

**Please also note**

We may change the administrative rules and other conditions for appointing, changing and removing the FlexIncome recipient from time to time.

**Family Premium Waiver**

- The Family Premium Waiver applies to the eligible policyholder of the plans in this series and/or their spouse (collectively the “Covered Person(s)”) if:
  - the policyholder is the parent, grandparent or legal guardian of the life assured or parent-to-be of the foetus when they register;
  - the spouse is legally married to the policyholder and we approve the registration; and
  - there is no in-force waiver of premium supplementary benefit under the policy for the Covered Person(s).
- We will cover all causes of death, with a 2-year waiting period (except the death due to an accident) from
  - (a) the effective date of this benefit for the respective Covered Person(s); or
  - (b) the effective date they reinstate their plan, whichever is later for:
    - the policyholder who is aged 18 (19 ANB) – 50 (51 ANB) when the plan comes into force; or
    - their spouse who is aged 18 (19 ANB) – 50 (51 ANB) when the plan comes into force (if the registration of the spouse is made when we issue the policy), or on the date we approve its registration, whichever is later.
- We will cover death due to an accident within 90 days of such accident and before the premium term ends for:
  - the policyholder who is aged 51 (52 ANB) or above when the plan comes into force; or
  - you assign the policy; or
  - you transfer the policy ownership (for the case of transferring the policy ownership to the succeeding owner, designated owner or interim owner, please refer to the “Succeeding owner”, “Incapacity Option” and “Interim Owner Option” below for details).



Succeeding owner

When you appoint a succeeding owner

- If you are not the life assured, as soon as the policy starts or after the registration of the newborn is completed (under **Prudential Baby Enlight Savings Insurance**), you can appoint, change or remove the succeeding owner as many times as you wish during the lifetime of the current policyholder and the life assured while the policy is in force (subject to our approval).
- You can only appoint 1 succeeding owner under the policy.
- The succeeding owner can be either (i) aged 18 (19 ANB) or above; or (ii) aged under 18 (19 ANB) with the appointment of an interim owner. Please refer to the “Interim Owner Option” section below for details.
- If you appoint a succeeding owner before the 1<sup>st</sup> policy anniversary, the succeeding owner must have an insurable interest in the life assured and meet the relationship criteria we accept.
- If you have appointed a designated owner under the Incapacity Option, the succeeding owner must be the same person as the designated owner.
- The succeeding owner must be your a) spouse (including same-sex spouse), b) parent, c) child, d) sibling, e) grandparent or f) grandchild.
- If the life assured is aged under 18 (19 ANB), please refer to the application form for more requirements on the relationship between the life assured and the succeeding owner.
- You should inform the succeeding owner in advance to submit the prescribed form and required documents to us within 180 days of your death.
- This does not apply to:
  - assigned policies; or
  - trust-owned policies, unless we approve it.

Grounds for cancelling this appointment

- We will cancel the succeeding owner you have appointed earlier when the first of these happens:
  - you transfer the policy ownership (except when it is transferred to the interim owner when you pass away; for the case of transferring the policy ownership to the designated owner under the Incapacity Option, please refer to the “Incapacity Option” section below for details); or
  - you assign the policy; or
  - the policy becomes a trust-owned policy; or
  - you change or cancel the appointment of the succeeding owner; or
  - the succeeding owner dies; or
  - you cancel the appointment of interim owner or the Interim Owner Option (for the succeeding owner aged under 18 (19 ANB) when they are appointed).

- In addition, we may cancel the appointment of the succeeding owner if:
  - such appointment will/may, constitute a breach of, or conflict with, any law, order, judgment, award, injunction or decree; or
  - such appointment will render us incurring or potentially incurring any liability; or
  - any court decides, or a guardian/committee decides pursuant to a court order, against the appointment of the succeeding owner.

Succeeding owner becomes the new policyholder

When the succeeding owner is appointed without the Interim Owner Option, or the succeeding owner becomes the new policyholder directly under the Interim Owner Option:

- If the current policyholder unfortunately dies, the succeeding owner will automatically and immediately become the new policyholder subject to our right to revoke the transfer of policy ownership to the succeeding owner if any of following conditions is/are not satisfied:
  - the succeeding owner submits the prescribed form to us within 180 days from the death of the current policyholder, together with the required documents as soon as possible to enable us to determine if we are satisfied with the submission within 30 days from the date we receive the initial submission; and
  - the succeeding owner must be your immediate family member; and
  - other conditions that we may impose from time to time.
- If we exercise our right of revocation, the revocation will take retrospective effect from the date of death of the deceased policyholder.
- The arrangement with respect to succeeding owner is also subject to our administrative rules and other conditions at the relevant time.
- Before we decide whether to exercise the right of revocation, all rights and benefit entitlements of the succeeding owner as a policyholder under the policy will be suspended.
- The rights and benefit entitlements of the succeeding owner as the new policyholder shall be subject to other terms as set out in the policy provisions.
- We will cancel any FlexIncome instruction and the appointment of the designated person or designated owner under the Incapacity Option and FlexIncome recipient once we receive notice of the policyholder’s death. Other than these, there is no impact to the policy nor previous designations until we decide not to exercise the right of revocation, after which we will cancel any appointment of the interim owner and the Interim Owner Option, Death Benefit Settlement Option and nomination of the beneficiary, and terminate the Family Premium Waiver.

Please also note

- If the life assured passes away, we will pay the beneficiary the Death Benefit and the policy will end.
- If there is a dispute or we have reasonable belief that there may be a dispute between the succeeding owner and anyone else (including the designated person or designated owner under the Incapacity Option, the FlexIncome recipient, the interim owner, the policyholder’s guardian or committee, attorney or beneficiary(ies)), or if we may incur liability as a result of processing the transfer of policy ownership to the succeeding owner, we reserve the right to revoke such change.
- We may change the administrative rules and other conditions for appointing, changing and removing the succeeding owner as well as transferring the policy ownership from the deceased policyholder to the succeeding owner from time to time.

Incapacity Option

When you choose to set up the Incapacity Option

- You can set up one of the following options as soon as the policy starts or after the registration of the newborn is completed (under **Prudential Baby Enlight Savings Insurance**):
  - **Incapacity Option – Benefit Payout**
    - > You can designate a percentage (between 10% - 100%) of the plan’s surrender value (before we deduct any outstanding premiums, loans and interest) as the amount we will pay under this option and appoint a designated person to receive this amount.
    - > You can only appoint 1 designated person in advance while the policy is still in force.
    - > The designated person must be your a) spouse (including same-sex spouse), b) parent, c) child, d) sibling, e) grandparent, f) grandchild or g) any other relationship as mentioned on the application form; and aged 18 (19 ANB) or above.
    - > The designated person may receive this amount if you are unfortunately diagnosed with mental incapacity, terminal illness, coma, loss of independent existence, apallic syndrome, major head trauma or paralysis (the “Covered Diseases”).

– Incapacity Option – Ownership Transfer

- > You can only appoint 1 designated owner in advance while the policy is still in force.
- > The designated owner can be either (i) aged 18 (19 ANB) or above; or (ii) aged under 18 (19 ANB) with the appointment of an interim owner. Please refer to the “Interim Owner Option” section below for details.
- > The designated owner must be your a) spouse (including same-sex spouse), b) parent, c) child, d) sibling, e) grandparent, f) grandchild or g) any other relationship as mentioned on the application form.
- > If the life assured is aged under 18 (19 ANB), please refer to the application form for more requirements on the relationship between the life assured and designated owner.
- > The designated owner will become the new policyholder if you are unfortunately diagnosed with any of the Covered Diseases.
- > If you have appointed a succeeding owner, the designated owner must be the same person as the succeeding owner.
- We will only process either the Benefit Payout or Ownership Transfer under the Incapacity Option once per policy.
- You can switch between the Benefit Payout or Ownership Transfer options, as well as appoint, change or remove the designated person (Benefit Payout) or designated owner (Ownership Transfer) as many times as you wish while the policy is in force and before the exercise of the Incapacity Option by completing and submitting an application form to us. However, you must meet our eligibility requirements, the applicable administrative rules and conditions and you will need our approval.
- You must declare the following on the application form:
  - you have not created any will or an enduring power of attorney (“EPA”) over the policy;
  - no guardian or committee has been appointed in respect of the policyholder under the Mental Health Ordinance (Cap. 136 of the laws of Hong Kong) (“MHO”) (or under similar laws in another jurisdiction); and
  - you are not insolvent and no bankruptcy proceeding has been (or will likely be) commenced against you.
- You should inform the designated person in advance of the application process for making the claim, or inform the designated owner in advance to apply for the transfer of policy ownership.
- This does not apply to:
  - assigned policies; or
  - trust-owned policies, unless we approve it.

**Grounds for cancelling an appointment under the Incapacity Option**

- We will cancel the designated person or designated owner you have appointed earlier when the first of these happens:
  - your policy is terminated; or
  - you transfer the policy ownership (except when it is transferred to the interim owner when you become incapacitated under the Incapacity Option – Ownership Transfer; for the case of transferring the policy ownership to the succeeding owner, please refer to the “Succeeding owner” section above for details); or
  - you assign the policy; or
  - the policy becomes a trust-owned policy; or
  - you inform us or we become aware that the policyholder has created an EPA or a will over the policy, and in the case of an EPA, the attorney does not provide their consent to our benefit payment to the designated person or our transfer of policy ownership to the designated owner; or
  - we are notified or become aware of a committee or guardian being appointed in respect of the policyholder under the MHO (or under similar laws in another jurisdiction), and such committee or guardian (as the case may be) does not provide their consent to our benefit payment to the designated person or our transfer of policy ownership to the designated owner; or
  - you have been adjudged bankrupt by any court of competent jurisdiction in or outside Hong Kong, or bankruptcy proceedings have been initiated against you; or
  - you change or cancel the appointment of the designated person or designated owner; or
  - you cancel the appointment of interim owner or the Interim Owner Option (for the designated owner aged under 18 (19 ANB) when they are appointed); or
  - we receive notice of the policyholder’s death.
- We will also cancel the current appointment of the designated person if you appoint a designated owner, and vice versa.
- You must inform us if you have created an EPA or a will over the policy. If you do not inform us, we will make the benefit payment to the designated person or transfer the policy ownership to the designated owner assuming there is no such EPA or will and we shall have no responsibility to you, the succeeding owner, your attorney or any other person.

- In addition, we may cancel the appointment of the designated person or designated owner if:
  - such appointment will/may, constitute a breach of, or conflict with, any law, order, judgment, award, injunction or decree; or
  - such appointment will render us incurring or potentially incurring any liability; or
  - any court decides, or a guardian/committee decides pursuant to a court order, against the appointment of the designated person or designated owner, the benefit payment to the designated person or the transfer of policy ownership to the designated owner.

**Designated person files the claim**

- For us to pay the amount under this option:
  - you must be diagnosed with any of the Covered Diseases while the policy is in force. There is more information on the claims requirements in the policy provisions; and
  - by the time we approve this claim, you must have appointed a designated person to file and receive the claim for this option and must not have cancelled the appointment; both you and the designated person must be alive; and none of the grounds for cancellation of the appointment under Incapacity Option mentioned above applies.
- We will deduct any outstanding premiums, loans and interest from the payout amount.
- If the designated percentage is less than 100%, we will take the amount from the accumulation account (if applicable), then cash value of any Terminal Bonus and the guaranteed cash value of the policy by reducing the notional amount (a “partial surrender”).
- If the designated percentage is 100%, we will terminate the basic plan and any supplementary benefit once we approve this claim.
- We will only pay the amount under this option once in a lump sum per policy.
- When submitting a claim, the designated person needs to complete and submit the application form, along with any other documents or evidence we may require from time to time, including the medical proof of your suffering from the Covered Diseases.



**Designated owner becomes the new policyholder**

When the designated owner is appointed without the Interim Owner Option, or the designated owner becomes the new policyholder directly under the Interim Owner Option:

- For us to transfer the policy ownership under this option,
  - you must be diagnosed with any of the Covered Diseases while the policy is in force. There is more information on the ownership transfer requirements in the policy provisions; and
  - by the time we approve the transfer of policy ownership, you must have appointed a designated owner and must not have cancelled the appointment; both you and the designated owner must be alive; and none of the grounds for cancellation of the appointment under Incapacity Option mentioned above applies.
- After transferring the policy ownership,
  - we will cancel any Death Benefit Settlement Option, FlexIncome instruction, Interim Owner Option, nomination of the beneficiary, appointment of the succeeding owner, interim owner and FlexIncome recipient; and
  - terminate the Family Premium Waiver.
- When applying for the transfer of policy ownership, the designated owner needs to complete and submit the application form, along with any other documents or evidence we may require from time to time, including the medical proof of your suffering from the Covered Diseases.

**Please also note**

- If the life assured dies and the death claim is submitted before the date of approval for the Incapacity Option, we will pay the Death Benefit instead of processing the Incapacity Option.
- The appointment of a designated person or designated owner is an advanced policy instruction, and not an EPA or a guardianship/committee order under the MHO. The policy instruction does not appoint the designated person or designated owner as your attorney or guardian/committee. If you have an EPA over the policy or a guardian/committee appointed, you must not appoint a designated person or designated owner.

- If there is a dispute or we have reasonable belief that there may be a dispute between the designated person or designated owner and anyone else (including the policyholder, the succeeding owner, the FlexIncome recipient, the interim owner, the policyholder’s guardian or committee, attorney or beneficiary(ies)), or if we may incur liability as a result of us making the benefit payment or transferring the policy ownership under this option, we reserve the right to withhold the benefit payment or the transfer of policy ownership until we are satisfied that the dispute or matter is resolved.
- We may change the administrative rules and other conditions for appointing, changing, and removing the designated person or designated owner from time to time.

**Interim Owner Option**

**When you set up the Interim Owner Option**

- Interim Owner Option is applicable to the appointment of the succeeding owner; and/or the designated owner under the Incapacity Option – Ownership Transfer.
- You must apply for the Interim Owner Option if the succeeding owner and/or the designated owner is aged under 18 (19 ANB) at the time of appointment, by designating the following persons and items:

**(i) Interim owner**

- You can appoint, change or remove the interim owner as many times as you wish while the policy is in force (subject to our approval).
- According to the existing administrative rules and other conditions, the interim owner must be the succeeding owner’s and/or designated owner’s a) parent, b) grandparent, c) sibling, or d) any other relationship as mentioned on the application form.
- The interim owner must be aged 18 (19 ANB) or above at the time of appointment.
- If both succeeding owner and designated owner are appointed, their interim owner must be the same person.
- Only 1 interim owner is allowed at any time per policy.
- Under **Prudential Baby Enlight Savings Insurance**, you can appoint the interim owner only after the newborn becomes the life assured.

**(ii) Specified date or age**

- You must set either a specified date or age for the succeeding owner or designated owner to take up policy ownership.
- The succeeding owner or designated owner must be aged 18 (19 ANB) or above when they take over the policy.

(iii) (Optional) Life events

- You may choose multiple life events below for succeeding owner or designated owner to take up policy ownership:
  - graduates from university; or
  - gets married; or
  - gets divorced; or
  - gives birth (including their spouse) or adopts a child; or
  - buys a new home; or
  - relocates to a different city; or
  - becomes involuntarily unemployed, having been an eligible employee; or
  - receives a cancer, heart attack or stroke diagnosis.
- The succeeding owner or designated owner must be aged 18 (19 ANB) or above when they take over the policy.

(iv) (Optional) Granted policy rights

- Subject to the specific product features, the policyholder may grant the policy right(s) below for the interim owner to exercise during their policy ownership, including:
  - Withdraw part of the policy value;
  - Apply for Academic Success Award;
  - Exercise FlexIncome Option; and/or
  - any other granted policy rights as mentioned on the application form.
- The interim owner can also exercise limited administrative rights as mentioned on the application form.

Determination of the new policyholder when the policyholder passes away under the Interim Owner Option

**Scenario I:** the policyholder passes away **on or after** the succeeding owner reaches the specified date, age or any of the chosen life event happens:

- The succeeding owner will automatically become the new policyholder with full policy rights, subject to our right of revocation. For the rules and requirements, please refer to “Succeeding owner becomes the new policyholder” under the “Succeeding owner” section above.

**Scenario II:** the policyholder passes away **before** the succeeding owner reaches the specified date or age; and no life event(s) has been chosen or happened:

- The interim owner will automatically become the new policyholder temporarily, with limited administrative rights and policy right(s) as granted by you, subject to our right of revocation. For the rules and requirements, please refer to “Interim owner to take over the policy when the policyholder passes away” section below.

- You should inform the interim owner and the succeeding owner in advance to submit the prescribed form and documents to us within 180 days of your death.

Interim owner to take over the policy when the policyholder passes away

- Referring to scenario II above, if the current policyholder unfortunately dies while the policy is in force, the interim owner will automatically become the new policyholder temporarily with limited administrative rights and policy right(s) subject to our right to revoke the transfer of policy ownership to the interim owner if any of following conditions is/are not satisfied:
  - the interim owner submits the prescribed form to us within 180 days from the death of the current policyholder, together with the required documents as soon as possible to enable us to determine if we are satisfied with the submission within 30 days from the date we receive the initial submission; and
  - the interim owner must be succeeding owner’s family member while the succeeding owner must be your immediate family member, at the time of such transfer to the interim owner; and
  - other conditions that we may impose from time to time.
- If we exercise our right of revocation, the revocation will take retrospective effect from the date of death of the deceased policyholder.
- The arrangement with respect to the interim owner is also subject to our administrative rules and other conditions at the relevant time.
- Before we decide whether to exercise the right of revocation, all rights and benefit entitlements of the interim owner under the policy will be suspended.
- The rights and benefit entitlements of the interim owner as the new policyholder shall be subject to the granted policy rights and other terms as set out in the policy provisions.
- We will cancel any FlexIncome instruction and the appointment of the designated person or designated owner under the Incapacity Option and FlexIncome recipient once we receive notice of the policyholder’s death. Other than these, there is no impact to the policy nor previous designations until we decide not to exercise the right of revocation, after which we will cancel any Death Benefit Settlement Option and terminate the Family Premium Waiver.

**Determination of the new policyholder when the policyholder becomes incapacitated under the Interim Owner Option**

- If the policyholder is diagnosed with any of the Covered Diseases and

**Scenario I:** the designated owner applies to transfer the policy ownership **on or after** they reach the specified date, age or any of the chosen life event happens:

- The designated owner can become the new policyholder with full policy rights once approved. For the rules and requirements, please refer to “Designated owner becomes the new policyholder” under the “Incapacity Option” section above.

**Scenario II:** the interim owner applies to transfer the policy ownership **before** the designated owner reaches the specified date or age; and no life event(s) has been chosen or happened:

- The interim owner can become the new policyholder temporarily, with the limited administrative rights and policy right(s) as granted by you. For the rules and requirements, please refer to “Interim owner to take over the policy when the policyholder becomes incapacitated” section below.

- You should inform the interim owner and the designated owner in advance to apply for the transfer of policy ownership when you become incapacitated.

**Interim owner to take over the policy when the policyholder becomes incapacitated**

- Referring to scenario II above, if the current policyholder is diagnosed with any of the Covered Diseases while the policy is in force, the interim owner can apply to become the new policyholder temporarily with limited administrative rights and policy right(s) provided that the following conditions are satisfied by the time we approve the transfer of policy ownership:
  - you must have appointed an interim owner and a designated owner, and must not have cancelled the appointments;
  - you, the interim owner and designated owner are alive; and
  - none of the grounds for cancellation of the appointment of the interim owner and the designated owner mentioned applies.
- When applying for the transfer of policy ownership, the interim owner needs to complete and submit the application form, along with any other documents or evidence we may require from time to time, including the medical proof of your suffering from the Covered Diseases.

- After transferring the policy ownership,
  - we will cancel any Death Benefit Settlement Option, FlexIncome instruction, appointment of the succeeding owner and FlexIncome recipient; and
  - terminate the Family Premium Waiver.

**During the policy ownership of the interim owner**

- The interim owner will assume all obligations of the policy as the policyholder (such as meeting premium payment obligations) and be bound by and subject to the terms and conditions of the policy, but can only exercise the policy rights granted by you and any other rights as mentioned on the application form.
- The interim owner is not authorised to exercise any policy rights that would a) change any person concerned under the policy, that is, the policyholder, life assured, beneficiary, succeeding owner, designated owner or interim owner; b) change the specified date, age or life event(s) under the Interim Owner Option; c) exercise any options or change any chosen options under the policy (except those policy right(s) granted by you); d) change the policy value (except those policy right(s) granted by you); e) withdraw any value from the premium deposit account during premium payment period; or f) assign the policy.
- After the interim owner takes over the policy, but (i) unfortunately passes away, (ii) cannot continue holding the ownership in our reasonable opinion, or (iii) refuses to continue holding the ownership, we have the sole and absolute discretion to suspend the limited administrative rights and policy right(s) granted by you to the interim owner. If the interim owner is granted the policy rights to exercise the FlexIncome Option, we will cancel the FlexIncome recipient appointed by the interim owner, FlexIncome Option exercised and FlexIncome instruction.
- The succeeding owner or designated owner can apply to become the new policyholder with full policy rights if the following case happens and they are aged 18 (19 ANB) or above, and must submit the prescribed form and required documents:
  - (case 1) when any of the chosen life event happens even if it is before they reach the specified date or age; or
  - (case 2) within 180 days after they reach the specified date or age.
- We will withhold any FlexIncome instruction from the interim owner when an application for the transfer of policy ownership is made in case (1). After such transfer in case (1), we will cancel any FlexIncome instruction, nomination of the beneficiary, Interim Owner Option and appointment of the succeeding owner, designated owner, interim owner and FlexIncome recipient; or



- When the specified date or age is reached in case (2), we will cancel any FlexIncome instruction and the appointment of the FlexIncome recipient. After such transfer in case (2), we will cancel the nomination of the beneficiary, Interim Owner Option and appointment of the succeeding owner, designated owner, and interim owner.

**Grounds for cancelling an appointment of the interim owner**

- We will cancel your appointment of the interim owner when the first of these happens:
  - you cancel or change the appointment of the interim owner; or
  - the interim owner passes away before they take over the policy; or
  - the succeeding owner or designated owner becomes the new policyholder; or
  - you have named either a succeeding owner or a designated owner, and that appointment is cancelled for any reason; or
  - you have named both a succeeding owner and a designated owner, and both appointments are cancelled for any reason.
- In addition, we may cancel the appointment of the interim owner if:
  - the appointment of succeeding owner or designated owner or the transfer of policy ownership will/may, constitute a breach of, or conflict with, any law, order, judgment, award, injunction or decree; or
  - such appointment or transfer will render us incurring or potentially incurring any liability; or
  - any court decides, or a guardian/committee decides pursuant to a court order, against such appointment, the Interim Owner Option or transfer of policy ownership.

**Please also note**

- The Interim Owner Option is an administrative arrangement only. It does not create an enduring power of attorney and we shall have no responsibility for the actions of the interim owner, the succeeding owner or the designated owner after the transfer of policy ownership.
- The acceptance of the arrangement application is at our sole and absolute discretion, and subject to terms and conditions as we determine from time to time without prior notice.
- You can change the specified date, age, life events or granted policy rights after the Interim Owner Option is set up.
- For more administrative arrangements and rules, including but not limited to when the succeeding owner, designated owner or interim owner fails to take over or continue to hold the policy under the Interim Owner Option, please refer to the application form.
- We may change the administrative rules and other conditions for the Interim Owner Option from time to time.

**Compassionate Benefit**

- Under **Prudential Baby Enlight Savings Insurance**, we will pay a Compassionate Benefit equal to 105% of the 1<sup>st</sup> year premium, if the life assured (expectant mother) meets the conditions as set out in the provisions.
- Once the Compassionate Benefit is paid, the policy will end.

Death Benefit and its settlement option

- If the life assured unfortunately passes away while the policy is still in force, we will pay the beneficiary a **Death Benefit** equal to:
  - 180% of the notional amount plus the face values of any Terminal Bonus;
  - plus** any amount in the accumulation account (if applicable);
  - less** all amounts (including but not limited to any outstanding loans and interest) you owe us under the policy.
- Under **Prudential Baby Enlight Savings Insurance**:
  - if the child (life assured) passes away within 180 days after birth, we will only pay 20% of the Death Benefit amount (i.e. 180% of the notional amount x 20%).
  - the Death Benefit will be paid only when the life assured is changed to the child.

Death Benefit Settlement Option

- You can decide, while the life assured is still alive, how we pay your beneficiary(ies) the Death Benefit in one of these ways:
  - one lump sum; or
  - monthly instalments over 10, 20, 30 or 40 years; or
  - a mix of both – pay the percentage of the Death Benefit you decide in a lump sum then the remaining balance in monthly instalments; or
  - FlexLegacy – we will pay your sole beneficiary the Death Benefit when the life assured passes away and/or when the sole beneficiary experiences any of the life events listed below. You can customise the settlement option in monthly instalments, lump sum(s) or a mix of the two.

| Payment option | Monthly instalments                                                                                                                                                                                                                            | and/or | Lump sum(s)                                                                                                                     |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|---------------------------------------------------------------------------------------------------------------------------------|
| When we pay    | When the life assured passes away; or                                                                                                                                                                                                          |        | When the life assured passes away; and/or                                                                                       |
|                | When the <b>beneficiary's life event(s)</b> that you choose <b>happens</b> :                                                                                                                                                                   |        |                                                                                                                                 |
|                | reaches/has reached <b>a</b> designated age; or                                                                                                                                                                                                |        | reaches/has reached <b>up to 3</b> designated ages; or                                                                          |
|                | graduates from university; or                                                                                                                                                                                                                  |        |                                                                                                                                 |
|                | gets married; or                                                                                                                                                                                                                               |        |                                                                                                                                 |
|                | gets divorced; or                                                                                                                                                                                                                              |        |                                                                                                                                 |
|                | gives birth (either your beneficiary or their spouse) or adopts ( <b>up to 1 child</b> ); or                                                                                                                                                   |        | gives birth (either your beneficiary or their spouse) or adopts ( <b>up to 2 children</b> ); or                                 |
|                | buys a new home; or                                                                                                                                                                                                                            |        |                                                                                                                                 |
|                | relocates to a different city; or                                                                                                                                                                                                              |        |                                                                                                                                 |
|                | is an eligible employee and becomes involuntarily unemployed; or                                                                                                                                                                               |        |                                                                                                                                 |
|                | receives a cancer, heart attack or stroke diagnosis                                                                                                                                                                                            |        |                                                                                                                                 |
|                | You can choose <b>multiple</b> life events. We will start paying the Death Benefit in monthly instalments to your beneficiary only when the <b>1<sup>st</sup> of the chosen event(s) happens</b> and continue until we have fully paid it out. |        |                                                                                                                                 |
| How we pay     | over 10, 20, 30 or 40 years; or                                                                                                                                                                                                                |        | the lump sum amount of your choice, subject to the remaining Death Benefit; or                                                  |
|                | the instalment amount of your choice, until the remaining Death Benefit is used up; or                                                                                                                                                         |        |                                                                                                                                 |
|                | the instalment amount equals the percentage of the Death Benefit of your choice (0-100%), until the remaining Death Benefit is used up.                                                                                                        |        | the lump sum amount equals the percentage of the Death Benefit of your choice (0-100%), subject to the remaining Death Benefit. |

- The beneficiary must submit the request for paying the monthly instalments or lump sum amount, along with the proof of the life event, to us for approval.
- The beneficiary can submit the request for us to pay any unpaid Death Benefit and any accumulated interest in one go when they reach an age you choose, or 85 (86 ANB) as set by us.
- You may choose the FlexLegacy when your policy only has 1 designated beneficiary.
- The FlexLegacy is an additional option to the Death Benefit Settlement Option as set out in the respective policy provision.

**General rules for the Death Benefit Settlement Option**

- Any remaining Death Benefit will earn a non-guaranteed interest. We will determine the interest rate from time to time. We will pay the accumulated interest during the final payout, together with the last monthly instalment or the last lump sum payment.
- The remaining Death Benefit will not participate in the Shareholder-backed Participating Fund or benefit from its profits.
- The beneficiary cannot make any changes to the way we pay the Death Benefit at any time.
- We will cancel any Death Benefit Settlement Option and pay the Death Benefit in a lump sum when the life assured passes away if you:
  - transfer the policy ownership (for the case of transferring the policy ownership to the succeeding owner, designated owner or interim owner, please refer to the “Succeeding owner”, “Incapacity Option” and “Interim Owner Option” sections above for details); or
  - assign the policy; or
  - have all your beneficiary designations revoked or cancelled; or
  - change, cancel or revoke the sole beneficiary, or add a beneficiary, under the FlexLegacy; or
  - choose to settle the Death Benefit in monthly instalments or through the FlexLegacy, but the total amount payable under monthly instalments or the FlexLegacy is less than USD 50,000 (or other amount we determine from time to time).

**Please also note**

The Death Benefit Settlement Option is not a trust, and we do not owe any trust-related responsibilities to the beneficiary(ies). There are more details related to the Death Benefit Settlement Option on the application form and any relevant documents. We may change the administrative rules and/or introduce more options from time to time.

**Guaranteed Insurability Option**

- While the policy is in force, the life assured can choose to take out a new whole-life insurance plan with cash value when any of the timepoints below happens, with no need to give us any health information:
  - the date they receive the guaranteed cash coupon; or
  - the policy anniversary on or immediately following the life assured reaches age 25 (26 ANB), 30 (31 ANB) or 35 (36 ANB).
- The life assured can exercise this option once per policy, if the conditions below are satisfied:
  - apply within 90 days following the specific timepoint;
  - no claims have been made under the plans in this series;
  - we did not issue the original policy with loading or special terms and conditions; and
  - the sum assured of the new policy does not exceed the lower of:
    - > 3.6 times of the prevailing notional amount of the plan; and
    - > USD 500,000 (for all the new policies exercised from this option under the plans in this series covering the same life assured).



Cash value withdrawal

- You can choose to withdraw your policy value by taking the cash value of the Terminal Bonus and/or through a partial surrender.
- We will take the amount from:
  1. any accumulation account first;
  2. then the non-guaranteed cash value of the Terminal Bonus and the guaranteed cash value of the policy by reducing the notional amount (a “partial surrender”).
- If the notional amount reduces, the subsequent guaranteed cash value, guaranteed cash coupon, any Terminal Bonus and the Death Benefit will also be reduced. Therefore, any cash value you withdraw will reduce the Death Benefit and surrender value payable.

Policy loan

- To offer you extra financial flexibility in times of need, you can borrow up to 80% of your policy’s guaranteed cash value, while keeping the policy in force, as a policy loan.
- We will charge interest on policy loans from the dates you take them out until they are fully repaid.
- We calculate interest at a rate we determine, which we may change from time to time, and it is compounded annually (in other words, generating “interest on interest”).
- If you have taken out a loan on your policy, we will deduct any outstanding premiums, loans and interest from all applicable insurance benefits before we pass the remaining money to you. This means your insurance benefits may be lower than the amounts available without taking out a policy loan.
- If at any time the total outstanding amount (including but not limited to any outstanding loans and interest) you owe us under the policy equals to or exceeds 100% of the guaranteed cash value of the policy, we will terminate the policy immediately and pay you the surrender value less all amounts (including but not limited to any outstanding loans and interest) you owe us under the policy, and you may receive an amount considerably less than the premiums you paid, as well as losing the policy’s coverage.
- There is more information on the policy loan and the interest rate we charge at <https://pruhk.co/cs-policy-payment-en>.

| More about the series | About Shareholder-backed Participating Plan | Important notes        |
|-----------------------|---------------------------------------------|------------------------|
| Series highlights     | Key benefits                                | How does the plan work |

### Automatic premium loan

- If you fail to pay the “total modal premium” within 1 calendar month from the date it is due, this policy will automatically:
  - continue to be in force if the “net cash value” of this policy is sufficient to pay the premium due and unpaid; and the amount of such premium or premium and levy will be automatically deemed to be paid by the premium loan you owe us (“automatic premium loan”) to keep enjoying the coverage under your policy; or
  - terminate if the “net cash value” of this policy is insufficient to pay the premium due and unpaid. In this case, we may only pay you the surrender value less all amounts (including but not limited to any outstanding loans and interest) you owe us under the policy, and you may receive an amount considerably less than the premiums you paid, as well as losing the policy’s coverage.
- We will charge you interest on the automatic premium loan(s) starting from the date when the relevant automatic premium loan(s) is incurred and it is compounded annually (in other words, generating “interest on interest”). We will determine the interest rate charged on the automatic premium loan(s) and may change it from time to time.
- If you have taken out an automatic premium loan on your policy, we will deduct any outstanding premiums, loans and interest from all applicable insurance benefits before we pass the remaining money to you. This means your insurance benefits may be lower than the amounts available without taking out an automatic premium loan.
- “Net cash value” is the guaranteed cash value less all amounts (including but not limited to any outstanding loans and interest) you owe us under the policy.
- There is more information on the automatic premium loan and the interest rate we charge at <https://pruhk.co/cs-policy-payment-en>.

### Termination of the plans in this series

- While the life assured is the child, we will terminate the plans in this series when the first of these happens:
  - we pay the Death Benefit; or
  - you surrender the policy; or
  - you fail to pay the premium within the grace period of 1 calendar month from its due date and the net cash value of the policy is insufficient to exercise the automatic premium loan; or
  - the designated percentage under the Incapacity Option – Benefit Payout is 100% and once we approve this claim; or
  - once the total outstanding amount (including but not limited to any outstanding loans and interest) are equal to or more than 100% of the guaranteed cash value of the policy.
- While the life assured is the expectant mother, we will terminate **Prudential Baby Enlight Savings Insurance** when the first of these happens:
  - the loss or death of life assured’s foetus; or
  - at the 1<sup>st</sup> policy anniversary, if the registration of newborn child is not completed by the 14<sup>th</sup> day prior to the 1<sup>st</sup> policy anniversary.

## Bonus philosophy

Policyholders of the Shareholder-backed Participating Plans shall enjoy a fair share of the relevant experience of the Shareholder-backed Participating Fund (the “Fund”) through the addition of non-guaranteed bonus. We aim to protect all policyholders’ respective rights and reasonable expectations by providing payments that are fair across different groups of policyholders. While the value of the plan is mostly affected by the overall performance of the Fund, smoothing may be applied to produce more stable returns over the policy term.

### Factors affecting the bonus

- The non-guaranteed bonus of the plan includes a Terminal Bonus. The bonus we pay is not guaranteed and is subject to review and adjustment at our discretion. Factors that may affect it include (but are not limited to):
  - i. Investment performance factors – Your plan’s performance will be affected by the return on its underlying investment portfolio and the accumulation account. This could be driven by:
    - capital gains and losses from investment assets, including but not limited to realised gains or losses, and changes in the market value of the underlying assets (such as bonds and equities);
    - interest earnings from fixed-income securities and dividend from equity-type securities (if any);
    - counterparty default risk of fixed-income securities (such as bonds);
    - investment outlook; and
    - external market risk factors such as recessions and changes in monetary policies and foreign exchange rates.
  - ii. Claims factors – Our historical claims experience on death and/or other covered benefits, and projected future costs of providing Death Benefit and/or other covered benefits.
  - iii. Expense factors – These include direct expenses associated with issuing and maintaining your policy, such as commissions, overrides, underwriting and policy administration expenses. They may also include indirect expenses (such as general overheads) allocated to your policy.
  - iv. Persistency factors – Policy persistency (a measure of how long policyholders keep their policies) and any cash value withdrawal of a group of policies may impact the bonus we pay to the continuing policies.
- The actual future amounts of benefits and/or returns may be higher or lower than the values currently presented in the marketing materials. Our website at <https://pruhk.co/bonushistory-SHPAR-en> explains the bonus history.



# Investment philosophy

## Investment strategy

We aim to protect the rights and manage the reasonable expectations of all Shareholder-backed Participating policyholders. Our investment objective is to maximise policyholders’ returns with an acceptable level of risk. We do this through a broad mix of investments.

The Shareholder-backed Participating Fund invests in various types of assets, such as equity-type securities and fixed-income securities to diversify investment risks. The equity-type securities aim to provide policyholders with the potential for a higher long-term return.

We adopt an actively managed investment strategy, which we adjust in response to changing market conditions. Under normal circumstances, our experts allocate a smaller proportion of higher-risk assets, such as equities, to insurance plans with a higher guarantee and a larger proportion of higher-risk assets to insurance plans with lower guarantees. In doing so, we aim to match the level of risk to the risk profiles of our products. We may utilise derivatives (such as through partly pre-investing expected future premiums) to manage risks or improve returns and to align assets and liabilities (such as moderating the effects of interest rates changes while allowing for more flexible asset allocation). We may also make use of securities-lending to enhance returns.

The following paragraphs explain the current investment mix according to our investment strategy. Should there be any material changes in the investment strategy, we will inform you of the changes and explain the reasons behind and their implications.

## The investment mix of your plan in this series

The current long-term target asset allocation is as follows:

| Asset type              | Allocation (%)<br>USD-denominated policies |
|-------------------------|--------------------------------------------|
| Fixed-income securities | 50%                                        |
| Equity-type securities  | 50%                                        |

Our guaranteed liabilities to the policyholders are mainly supported by fixed-income securities. For this series, we follow a two-stage investment strategy that adjusts automatically over time: (i) before the 18<sup>th</sup> policy anniversary and payment of the guaranteed cash coupon, we will allocate a smaller portion of our investments to equity-type securities; (ii) after the 18<sup>th</sup> policy anniversary, we will allocate a higher portion of our investments to equity-type securities considering the current long-term target (50%), with the potential of higher long-term returns. On the 18<sup>th</sup> policy anniversary, investment assets will be realised to pay your guaranteed cash coupon; and the remaining policy value will depend on the market conditions at that time, potentially affecting your subsequent fulfilment ratio.

We primarily invest in fixed-income securities rated at least investment-grade. A small portion of high-yield and emerging-market bonds may be included to improve yield and diversification.

For equity-type securities, most of the investments are in stocks listed on major international exchanges.

Our currency strategy is to broadly match the fixed-income securities to the underlying policy denomination, while we allow more flexibility for equity-type securities for diversification. Subject to market availability and opportunity, we may invest fixed-income securities in a currency other than the underlying policy denomination and currency hedging will be used to reduce the currency risk.

We invest globally to achieve diversification benefits and we currently have a higher relative allocation in the US and Asia which will be reviewed regularly.

We invest the amount in the accumulation account mainly in fixed-income securities.

**We actively manage and adjust actual exposure in response to changing market conditions and opportunities. Given asset values may vary due to changes in the economic environment and investment performance, the actual allocation may vary from the target allocation above. On a regular basis, we review the investment mix to be in line with our investment objectives and risk appetite. For more information on the investment mix, please refer to <https://pruhk.co/investmentmix-en>.**

## Key risks

### How may our credit risk affect your policy in this series?

The guaranteed cash value (if applicable) and insurance benefit of your plan are subject to our credit risk. If we become insolvent, you may lose the value of your policy and its coverage.

### How may currency exchange rate risk affect your return?

Foreign currency exchange rates may fluctuate. As a result, you may incur a substantial loss when you choose to convert your benefits to other currencies. Additionally, the conversion of your benefits to other currencies is subject to currency exchange restrictions applicable at the time when the benefits are paid. You have the sole responsibility to decide if you want to convert your benefits to other currencies.

### How may long-term target asset allocations affect the value of your plan?

You should note that the current long-term target asset allocation of this series, as disclosed in “The investment mix of your plan in this series” section above, will affect the non-guaranteed Terminal Bonus of your plan. The amount of the non-guaranteed Terminal Bonus is subject to the performance of our investments, which include equity-type securities and fixed-income securities, and may move up or down over time. Returns from equity-type securities are generally more volatile than fixed-income securities. For this series, we follow a two-stage investment strategy that adjusts automatically over time: (i) before the 18<sup>th</sup> policy anniversary and payment of the guaranteed cash coupon, we will allocate a smaller portion of our investments to equity-type securities; (ii) after the 18<sup>th</sup> policy anniversary, we will allocate a higher portion of our investments to equity-type securities considering the current long-term target (50%), with the potential of higher long-term returns, and the movement of the amount of the non-guaranteed Terminal Bonus can be large. On the 18<sup>th</sup> policy anniversary, investment assets will be realised to pay your guaranteed cash coupon; and the remaining policy value will depend on the market conditions at that time, potentially affecting your subsequent fulfilment ratio.

### What are the risks of surrendering your plan or withdrawing money from your plan in this series?

The liquidity of an insurance policy is limited. You are strongly advised to reserve adequate liquid assets for emergencies. For any surrender/withdrawal especially at the early stage upon policy inception, you may receive an amount considerably less than the premiums you paid.

### How may inflation affect the value of your plan in this series?

We expect the cost of living to rise in the future because of inflation. That means the insurance you take out today will not have the same buying power in the future (i.e., the benefit payouts might not be able to cover your future needs), even if the plan offers increasing benefit intended to offset inflation.

### What happens if you do not pay your premiums?

You should only apply for this product if you intend to pay all of its premiums. If you miss any of your premium payments, we will automatically settle your outstanding premiums or premiums and levy(ies) by an automatic premium loan, with interest charged at a rate as determined by us. In the case the loan amount (plus accrued interest) exceeds the amount we allow for loan under the policy, we may terminate your policy and you may receive an amount considerably less than the premiums you paid, as well as losing the policy’s coverage.

## Important information

### Suicide clause

If the life assured commits suicide, whether sane or insane, within 1 year from the effective date of the policy or from the date of any reinstatement, whichever is later, we will limit the death benefit to a refund of (i) the premiums paid, or (ii) the surrender value, whichever is higher. We will deduct any amounts we have already paid and any amounts you owe us under the policy.

### Cancellation right

A customer who has bought the life insurance plans has a right to cancel the policy within the cooling-off period and obtain a refund of any premium(s) and levy(ies) paid less any withdrawals. Provided that no claim has been made, the customer may cancel the policy by giving written notice to us within 21 calendar days immediately following either the day of delivery of (1) the policy or (2) the notice (informing the availability of the policy and expiry date of the cooling-off period) to the customer or his/her nominated representative, whichever is earlier. Such notice must be signed by the customer and received directly by Prudential Hong Kong Limited at 8/F, Prudential Tower, The Gateway, Harbour City, 21 Canton Road, Tsim Sha Tsui, Kowloon, Hong Kong within the cooling-off period.

The premium and levy will be refunded in the currency of premium and levy payment at the time of application for this policy. If the currency of premium and levy payment is not the same as the plan currency, the refundable premium and levy amount in plan currency under this policy will be converted to the currency of premium and levy payment at the prevailing currency exchange rate as determined by us in our absolute discretion from time to time upon payment. After the cooling-off period expires, if a customer cancels the policy before the end of benefit term, the actual cash value (if applicable) may be substantially less than the total amount of premiums paid.

### Automatic Exchange of Financial Account Information

Over 100 countries and jurisdictions around the world have committed to adopt new rules for automatic exchange of financial account information (“AEOI”). Under the new rules, financial institutions are required to identify account holders who are foreign tax residents and report certain information regarding their investment income and account balance to the local tax authority where the financial institution operates. When countries or jurisdictions start exchanging information on an automatic basis, the relevant local tax authority where the financial account is maintained will then provide this information to the tax authority of the account holder’s country of tax residence. This information exchange will be conducted on a regular, annual basis.

Hong Kong has adopted the new rules into its legislation (please see the Inland Revenue (Amendment) (No. 3) Ordinance 2016 (“the Amendment Ordinance”) which came into effect on 30 June 2016). Therefore, the above requirements will be applicable to financial institutions in Hong Kong including Prudential. Under these rules, certain policyholders of Prudential are considered as “account holders”. Financial institutions in Hong Kong including Prudential are required to implement due diligence procedures to identify account holders (i.e. policyholders in case where the financial institution is an insurance company) and in the case where the account holder is an entity, its “controlling persons”, who are foreign tax residents, and report this information to the Inland Revenue Department (“IRD”) if required. The IRD may transfer this information to the country of tax residence of such account holders.



- In order to comply with the law, Prudential may require you, the account holder, to:
- (1) complete and provide us with a self-certification form with information regarding your tax residence status, your tax identification number in your country or countries of tax residence, your date of birth, and in the case where the policyholder is an entity (for example, a trust or a company), the classification of the entity that holds the policy and information regarding “controlling persons” of such entities;
  - (2) provide us all required information and documentation for complying with Prudential’s due diligence procedures; and
  - (3) advise us of any change in circumstances which affect your tax residence status and provide us with a suitably updated self-certification form within 30 days of such change in circumstances.

According to the due diligence procedures set out in the Amendment Ordinance, self-certifications are required from account holders for all new accounts. As for pre-existing accounts, if a reporting financial institution has doubts about the tax residence of an account holder, it may require a self-certification from the account holder to verify its tax residence.

Prudential cannot provide you with any tax or legal advice. If you have doubts about your tax residence you should seek professional advice. You should seek independent professional advice on the impact that AEOI may have on you or your policy.

An account holder who knowingly or recklessly provides a statement that is misleading, false or incorrect in a material particular in making a self-certification to a reporting financial institution is liable on conviction to a fine at level 3 (HKD 10,000).

For further information on the implementation of the Common Reporting Standard and AEOI in Hong Kong, please refer to the IRD website: [http://www.ird.gov.hk/eng/tax/dta\\_aeoi.htm](http://www.ird.gov.hk/eng/tax/dta_aeoi.htm).

Need more details? Get in touch

Please contact your consultant or call our Customer Service Hotline at 2281 1333 for more details.

Notes

The plans in this Prudential Enlight Savings Insurance Series are underwritten by Prudential Hong Kong Limited (“Prudential”). You can always choose to take out these plans as a standalone plan without enrolling with other type(s) of insurance product at the same time, unless such plans are only available as a supplementary benefit which needs to be attached to a basic plan. This brochure does not contain the full terms and conditions of these plans and is for reference only. It does not represent a contract between Prudential and anyone else. You should read carefully the risk disclosures and key exclusions (if any) contained in this brochure. For further details and the full terms and conditions of these plans, please ask Prudential for a sample of the policy document.

Prudential has the right to accept or decline any application based on the information provided by the policyholder and/or life assured in the application.

Please cross your cheque and make it payable to “Prudential Hong Kong Limited”.

This brochure is for distribution in Hong Kong only. It is not an offer to sell or solicitation to buy or provide any insurance product outside Hong Kong. Prudential does not offer or sell any insurance product in any jurisdictions outside Hong Kong where such offering or sale of the insurance product is illegal under the laws of such jurisdictions.



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